

INDEPENDENT AUDITOR'S REPORT

To,

The Members of Paynext Private Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Paynext Private Limited** ("the Company"), which comprise the balance sheet as at 31st March 2023, and the statement of Profit and Loss, and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as 'the Financial Statements')

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2023 and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Financial Statements.



Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, Business Responsibility Report but does not include the Financial Statements and our auditor's report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the



financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

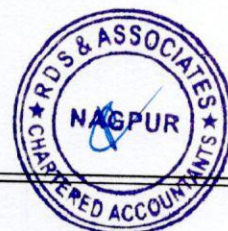
The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledge user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in planning the scope of our audit work and in evaluating the results of or works and to evaluate the effect of the any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

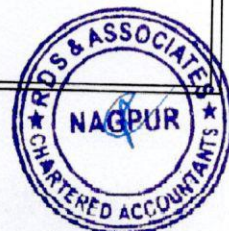
We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



Report on Other Legal and Regulatory Requirements

- 1 As required by the Companies (Auditor's Report) Order, 2016 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, is not applicable to the company. Since it satisfies all the conditions in the above order, we are not reporting the matters specified in the paragraphs 3 and 4 of the order.
- 2 As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - (c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account
 - (d) In our opinion, the aforesaid Financial Statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
 - (e) On the basis of the written representations received from the directors as on 31st March, 2023 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2023 from being appointed as a director in terms of Section 164 (2) of the Act.
 - (f) Since the Company's turnover as per last audited financial statements is less than Rs.50 Crores and its borrowings from banks and financial institutions at any time during the year is less than Rs.25 Crores, the Company is exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls vide notification dated June 13, 2017; and

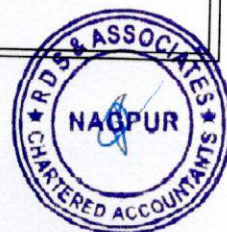


- g) With respect to the other matters to be included in the Auditors Report in accordance with the requirement of section 197(16) of the Act, as amended:

In our opinion and to the best of our information and according to the explanations given to us, the company has not paid remuneration to its director.

- (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

- i. The Company did not have any pending litigation on its financial position in its financial statements.
- ii. The Company did not have any long term contracts including derivative contracts for which there were any material foreseeable losses.
- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company
- iv. a) the management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or securities premium or any other sources or kind of funds) by the Company to or in any person(s) or entity(ies), including foreign entities ('the intermediaries'), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ('the Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf the Ultimate Beneficiaries;
- b) the management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ('the Funding



parties'), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

- c) Based on such audit procedures performed as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the management representations under sub-clauses (a) and (b) above contain any material misstatement.
- v) The Company has neither declared nor paid dividend during the year.
- vi) proviso to rule 3(1) of the Companies (accounts) rules, 2014 requires all companies which use accounting software for maintaining their books of account, to use such an accounting software which has a feature of audit trail, with effect from the financial year beginning on 1 April 2023 and accordingly, reporting under rule 11(g) of Companies (audit and auditors) rules, 2014 (as amended) is not applicable for the current financial year.



Nagpur

Date: 14/09/2023

FOR AND ON BEHELF OF
R D S & ASSOCIATES
CHARTERED ACCOUNTANTS
Firm Registration No.138978W

CA. R. D. SONULE
PROPRIETOR

M. NO. : 156133

UDIN: 23156133BGXNFC7463

PAYNEXT PRIVATE LIMITED
BALANCE SHEET AS ON 31ST MARCH 2023

(Amt.in '000)

PARTICULARS		Note No.	31-03-2023	31-03-2022
I.	<u>EQUITY AND LIABILITIES :</u>			
1	<u>SHAREHOLDERS' FUNDS</u>			
	Share Capital	2.1	10,000	100
	Reserves and surplus	2.2	36,147	6,228
	Sub-total			
2	Share Application Money			
	Pending Allotement	2.3	0	300
3	NON-CURRENT LIABILITIES			
	Long-Term Liabilities	2.4	31,978	0
	Other Long-Term Liabilities	2.5	1,10,060	42,348
4	CURRENT LIABILITIES			
	Short-term borrowings	2.6	0	0
	Trade Payable	2.7	7,920	47,629
	Other Current Liabilities	2.8	4,872	2,798
	Short-term Provisions	2.9	18,133	11,746
	Sub-total		30,925	62,173
	TOTAL EQUITIES AND LIABILITIES		2,19,110	1,11,149
II.	<u>ASSETS:</u>			
1	NON-CURRENT ASSETS			
	Fixed assets			
	Tangible ,Intangible Assets & Capital work in progress	2.10	1,75,495	96,775
2	CURRENT ASSETS			
	Current Investments	2.11	0	0
	Inventories	2.12	1,153	1,608
	Trade Receivables	2.13	30,062	10,311
	Cash and cash equivalents	2.14	5,448	61
	Short-term Loans and Advances	2.15	2,503	0
	Other Current Assets	2.16	4,449	2,394
	Sub-total		43,615	14,374
	TOTAL ASSETS		2,19,110	1,11,149

Notes on financial statements (Refer note-2)
FOR AND ON BEHALF OF PAYNEXT PRIVATE LIMITED

DIRECTOR
Avinash Shende
DIN : 02179381

DIRECTOR
Sachin Pande
DIN : 02181154

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 14/09/2023



FOR AND ON BEHALF OF
R D S & ASSOCIATES
Chartered Accountants
Firm Registration No. 138978W

CA. R. D. SONULE
PROPRIETOR
M.NO.156133
UDIN:23156133BGXNFC7463

PAYNEXT PRIVATE LIMITED

STATEMENT OF PROFIT AND LOSS ACCOUNT FOR THE PERIOD 01/04/2022 TO 31/03/2023

(Amt.in '000)

PARTICULARS	Note No.	31-03-2023	31-03-2022
I. Revenue from operations	2.17	1,29,692	1,21,734
II. Other income	2.18	0	0
III. Total Revenue (I + II)		1,29,692	1,21,734
IV. LESS : EXPENDITURE			
Purchases of Materials		50,502	1,09,130
Changes in inventories of stock-in-trade	2.19	455	-1,608
Employee benefit expenses	2.20	6,890	3,818
Finance costs	2.21	2,712	11
Depreciation and amortization expenses	2.10	30,734	0
Other Expenses	2.22	5,920	5,426
Total Expenses		97,213	1,16,777
V. Profit before exceptional and extraordinary items and tax (III - IV)		32,479	4,957
VI. Exceptional items		0	0
VII. Profit before extraordinary items and tax (V - VI)		32,479	4,957
VIII. Extraordinary items		0	0
IX. Profit before tax (VII - VIII)		32,479	4,957
X. Tax expense : Current tax		2,560	1,290
XI. Profit (Loss) for the period from continuing operations (IX - X)		29,919	3,667
XII. Profit / (loss) from discontinuing operations		0	0
XIII. Tax expense of discontinuing item		0	0
XIV. Profit / (loss) from Discontinuing operations (after tax) (XII - XIII)		0	0
XV. Profit / (loss) for the period (XI + XIV)		29,919	3,667
XVI. Earning per equity share :	2.23	3	233

FOR AND ON BEHALF OF PAYNEXT PRIVATE LIMITED

DIRECTOR
Avinash Shende
DIN : 02179381

DIRECTOR
Sachin Pande
DIN : 02181154

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 14/09/2023



FOR AND ON BEHALF OF
R D S & ASSOCIATES
Chartered Accountants
Firm Registration No. 138978W

CA. R. D. SONULE
PROPRIETOR
M.NO.156133

UDIN:23156133BGXNFC7463

PAYNEXT PRIVATE LIMITED

CASH FLOW STATEMENT

(Amt.in '000)

S.No.	Particulars	Note No.	31-03-2023	31-03-2022
1	CASH FLOW FROM OPERATING ACTIVITIES:			
	Net Profit before tax as per statement of Profit and Loss Add/(less):		32,479	4,957
	Depreciation, amortisation and impairment	2.10	30,734	0
	Interest Income	2.18	0	0
	Dividend Income	2.18	0	0
2	Operating profit before changes in working capital		63,213	4,957
	(Increase)/Decrease in trade receivables	2.13	-19,751	-4,434
	(Increase)/Decrease in Inventories	2.12	455	-1,608
	(Increase)/Decrease in loans and advances	2.15	-2,503	1,951
	(Increase)/Decrease in Other current Assets	2.16	-2,055	-1,505
	(Increase)/Decrease in other non-current Assets	2.11	0	0
	Increase/(Decrease) in Trade payables	2.7	-39,709	23,582
	Increase/(Decrease) in provisions	2.9	6,387	5,956
	Increase/ (Decrease) in other current Liabilities	2.8	2,074	0
	Increase/(Decrease) in long term liabilities	2.4	31,978	0
	Increase/(Decrease) in other long term liabilities	2.5	67,712	8,524
	Increase/(Decrease) in Short term borrowings	2.6	0	0
3	Cash Generated from operations		1,07,801	37,423
	Taxes paid		2,560	1,290
4	Net cash from opearting activities (A)		1,05,241	36,133
5	Cash flow from investing activities			
	Purchase of tangible & Intangible fixed assets	2.10	-1,09,454	-36,992
	Purchase of Long Term Investments		0	0
	sales of tangible fixed assets	2.10	0	0
	Sales of long-term investments		0	0
	interest and dividend received	2.18	0	0
6	Net cash from investing activities (B)		-1,09,454	-36,992
7	Cash flows from financing activities			
	Proceeds from paid up capital	2.3	9,900	0
	Share Application money returned		-300	0
8	Net cash from financing activities (C)		9,600	0
9	Net increase /Decrease in cash and cash equivalents			
	(A+ B+C)		5,387	-859
	opening balance of cash and cash equivalents		61	920
	Closing Balance of cash and cash equivalents		5,448	61

FOR AND ON BEHALF OF PAYNEXT PRIVATE LIMITED

DIRECTOR
Avinash Shende
DIN : 02179381

DIRECTOR
Sachin Pande
DIN : 02181154

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 14/09/2023



FOR AND ON BEHALF OF
R D S & ASSOCIATES
Chartered Accountants
Firm Registration No. 138978W

CA. R. D. SONULE
PROPRIETOR
M.NO.156133

UDIN:23156133BGXNFC7463

PAYNEXT PRIVATE LIMITED

Note 2: Notes on accounts as per revised schedule VI

SHARE HOLDERS FUND

The Company has only one class of shares, referred to as equity shares having a par value of Rs.10/- per share. Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.1 SHARE CAPITAL

(Amt.in '000)

A.	PARTICULARS	Number	31-03-2023	31-03-2022
	AUTHORISED CAPITAL :			
	10,00,000 Equity Shares of Rs. 10/- each	10,00,000	1,00,00,000	5,00,000
	ISSUED, SUBSCRIBED & PAID UP CAPITAL :			
	1000000 Equity Shares of Rs. 10/- each fully paid	10,00,000	10,000	100
			10,000	100

B Details of Share Holding of more than 5% shares are set out below

Particulars	31-03-2023		31-03-2022	
	No. of share held	% of share holding	No. of share held	% of share holding
1. Avinash Shende	4,98,750	49.88%	5,000	50.00%
2. Sachin Pande	4,98,750	49.88%	5,000	50.00%

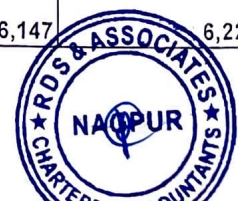
Note: Shares held by other members of the company are 0.25% as on 31.3.2023

C Share holding of promoters & % change during the year

PARTICULARS	Figures as at the end of current reporting period		
	No. of shares held	% of total shares	% Change
1. Avinash Shende	4,98,750	49.88%	-0.0012
2. Sachin Pande	4,98,750	49.88%	-0.0012

2.2 RESERVES AND SURPLUS

Particulars	31-03-2023	31-03-2022
<u>Surplus in the statement of profit and loss</u>		
Opening Balance	6,228	2,561
Less: Bonus shares issued	0	0
Add: Profit for the year	29,919	3,667
Less: Transfer to reserve, if any	0	0
Closing Balance	36,147	6,228
Total	36,147	6,228



PAYNEXT PRIVATE LIMITED

2.3 SHARE APPLICATION MONEY PENDING ALLOTMENT

(Amt.in '000)

PARTICULARS	31-03-2023	31-03-2022
1. Avinash Shende	0	150
2. Sachin Pande	0	150
Total		300

2.4 LONG TERM LIABILITIES

Particulars	31-03-2023	31-03-2022
<u>Long-Term Borrowings :</u>		
Indian Bank Term Loan	31,978	0
Total	31,978	0

2.5 OTHER LONG TERM LIABILITIES:

Particulars	31-03-2023	31-03-2022
<u>Unsecured Loans From</u>		
Virtual Galaxy Infotech Pvt. Ltd.	28,848	22348
<u>Loan from Directors :</u>		
Avinash Shende	31,150	10000
Sachin Pande	31,150	10000
Creditors for Fixed Asset of Software Development	18,912	0
Total	1,10,060	42,348

2.6 SHORT TERM BORROWINGS:

Particulars	31-03-2023	31-03-2022
Total	0	0

2.7 TRADE PAYABLES:

Particulars	31-03-2023	31-03-2022
Sundry Creditors	7,920	47,629
Total	7,920	47,629



PAYNEXT PRIVATE LIMITED

2.8 OTHER CURRENT LIABILITIES:

Particulars	31-03-2023	31-03-2022
Salary Payable	2,457	2,708
Professional Charges Payable	150	90
Principle Repayment of term loan due within next year	2,265	0
Total	4,872	2,798

2.9 SHORT TERM PROVISIONS:

Particulars	31-03-2023	31-03-2022
Provision for Taxation	2,560	1,290
Statutory remittance	15,543	10,426
Audit fees provision	30	30
Total	18,133	11,746



PAYNEXT PRIVATE LIMITED

GROSS BLOCK						NET BLOCK			
Particulars	Cost As on 1/4/2022	Additions before 30.09.2022	Additions after 30.09.2022	Deductions during the yr.	Total	Dep. Amount	During previous yr.	During current yr.	Total Depreciation
Switch Development	96,775	18,531	20,133	0	1,35,439	0	0	29,454	29,454
Data Center	0	0	43,011	0	43,011	0	0	1,280	1,280
Software Development (WIP)	0	0	27,779	0	27,779	0	0	0	0
Total Rs.	96,775	18,531	90,923	0	2,06,229	0	0	30,734	30,734
								96,775	1,75,495
									41,731
								0	27,779
									1,05,985



PAYNEXT PRIVATE LIMITED

2.11 CURRENT INVESTMENTS :

(Amt.in '000)

Particulars	31-03-2023	31-03-2022
Total	0	0

2.12 INVENTORIES :

Particulars	31-03-2023	31-03-2022
stock-in-trade	1,153	1,608
Total	1,153	1,608

2.13 TRADE RECEIVABLES:

Particulars	31-03-2023	31-03-2022
Trade Receivables outstanding for a period exceeding six months from the date they were due for payment		
Secured-considered good		580
Unsecured-considered good		
Other trade receivables		
Unsecured-considered good	30,062	9,731
Total	30,062	10,311

2.14 CASH AND CASH EQUIVALENTS:

Particulars	31-03-2023	31-03-2022
Cash in Hand	63	27
Cash with Banks		
Kotak Mahindra Bank	565	9
RBL Bank	25	25
Indian Bank	4,795	0
sub-total	5,448	61
Total	5,448	61



PAYNEXT PRIVATE LIMITED

2.15 SHORT TERM LOANS AND ADVANCES:

(Amt.in '000)

Particulars	31-03-2023	31-03-2022
Advance against purchases	1,931	0
Salary Advance	572	0
		0
Total	2,503	0

2.16 OTHER CURRENT ASSETS:

Particulars	31-03-2023	31-03-2022
GST Setoff	151	0
TDS	3,698	1,764
Security Deposit	600	600
EMD	0	30
sub-total	4,449	2,394
Preliminary Expenses (to the extent not w/off)	0	0
Less: written off for the year	0	0
sub-total	0	0
Total	4,449	2,394



PAYNEXT PRIVATE LIMITED

2.17 REVENUE FROM OPERATIONS:

(Amt.in '000)

Particulars	31-03-2023	31-03-2022
Sales / Others	1,29,692	1,21,734
Total	1,29,692	1,21,734

2.18 OTHER INCOME :

Particulars	31-03-2023	31-03-2022
Other Income	0	0
Total	0	0

2.19 CHANGES IN INVENTORIES OF STOCK IN TRADE:

Particulars	31-03-2023	31-03-2022
Closing Stock at the end of the year	1,153	1,608
Less : Opening Stock at the beginning of the year	1,608	0
Total	455	-1,608

2.20 EMPLOYEE BENEFITS EXPENSES :

Particulars	31-03-2023	31-03-2022
Salaries,allowances and other benefits	4,900	2,117
Contribution to provident fund and other Fund	1,903	1,653
Staff welfare expenses	87	48
Total	6,890	3,818

2.21 FINANCE COSTS:

Particulars	31-03-2023	31-03-2022
Interest and Bank Commission & Insurance	2,712	11
Total	2,712	11



PAYNEXT PRIVATE LIMITED

2.22 OTHER EXPENSES:

(Amt.in '000)		
Particulars	31-03-2023	31-03-2022
Consultancy Charges	162	662
Rent	1,558	1,977
Courier Charges	0	5
Audit Fees	30	30
Office Expenses	200	182
Miscellaneous Expenses	11	26
Certification fees	200	30
Repairs & Maintenance	0	33
Printing & Stationery	39	28
Registration Charges	155	50
Legal Expenses	30	26
Businesss Promotion expenses	0	0
Connectivity Charges	1,495	23
Electricity Charges	89	96
Tour & Travelling Expenses	0	141
AMC Charges	482	159
Discount	214	558
Commission & Brokerage	0	308
Insurance Charges	1,035	1,092
TDS Demand	220	0
Total	5,920	5,426

2.23 EARNING PER SHARE:

Particulars	31-03-2023	31-03-2022
Net profit after tax	29919	2327
Number of Equity Share issued	10000	10
Basic earnings per share of Rs.10/- each	3	233

2.24 AMOUNT IN THE FINANCIAL STATEMENTS

Amounts in the financial statements are rounded off to rupees in thousands.

2.25 DISCLOSURE UNDER MICRO,SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT,2006

The company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Development Act,2006.Nonetheless,there are no amounts for a period beyond the stipulated period as specified under Micro,Small and Medium Enterprises Act,06.

2.26 PAYMENT TO AUDITORS

Particulars	31-03-2023	31-03-2022
Statutory Audit	30	30
Total	30	30



PAYNEXT PRIVATE LIMITED

2.27 CONFIRMATION OF BALANCES

The Company has not generally called for confirmation from trade payables, trade receivables, unsecured loans, loans and advances, deposit from parties/deposit with the parties etc.

Management has however, confirmed that these accounts are scrutinised and that these are current and are recoverable and payables.

2.28 RELATED PARTY TRANSACTION

Balance Amounts Outstanding:

Name	Nature of Relation and Transaction	Amount as on 31.3.2023
M/s. Virtual Galaxy Infotech Pvt. Ltd.	Both Director are Director in Virtual Galaxy Infotech Pvt. Ltd. Unsecured Loan Sundry Debtors	28,848 25,569
Mr. Avinash Shende	Director Unsecured Loan	31,150
Mr. Sachin Pande	Director Unsecured Loan	31,150

2.29 Previous year's figures

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.

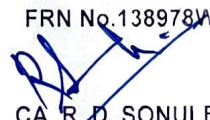


2.30 Ratio Analysis

Sl. No.	Particulars	Current Year A			Preceding Year B			Change in %C =(A-B)/B	Explanation towards Change beyond 25%
1	Current Ratio	43,615	30,925	1.41	14,374	62,173	0.23	510.03%	Due to increased in receivables and decreased in payables
2	Debt Equity Ratio	31,978	46,147	0.69	-	6,328	-		
3	Debt Service Coverage Ratio			NA			NA		
4	Return on Equity Ratio	29,919	46,147	0.65	3,667	6,328	0.58	11.88%	
5	Inventory Turnover Ratio	1,29,692	1,153	112.48	1,21,734	1,608	75.71	48.58%	Due to increased in current year turnover
6	Trade Receivables Turnover Ratio	1,29,692	30,062	4.31	1,21,734	10,311	11.81	-63.46%	Due to increased in current year turnover
7	Trade Payables Turnover Ratio	1,29,692	7,920	16.38	1,21,734	47,629	2.56	540.69%	Due to increased in current year turnover
8	Net Capital Turnover Ratio	1,29,692	1,88,185	0.69	1,21,734	48,976	2.49	-72.27%	Due to increased in current year turnover
9	Net Profit Ratio	29,919	1,29,692	0.231	3,667	1,21,734	0.030	665.83%	Due to increased in current year profit
10	Return on Capital Employed Ratio (ROCE)	ROCE=ROI= EBIT/ [Capital Employed = (All Assets – Current Liability) OR (Equity + Long Term Debt)]							
11	Return on Investment (ROI)	35,191	1,88,185	0.19	4,968	48,976	0.10	84.35%	Due to increased in current year profit



PAYNEXT PRIVATE LIMITED

BALANCE SHEET ABSTRACT AND THE COMPANY'S GENERAL BUSINESS PROFILE		
I	Registration Details Registration/CIN State code Balance sheet date	320131 11 31-03-2023
II	Capital raised during the year Public/fresh Right issue Bonus issue Private placement	NIL NIL NIL NIL
III	Position of mobilisation and deployment of funds Equities and liabilities Assets Sources of funds Share capital Reserves and surplus Long term liabilities Trade payables Other current liabilities short term provisions Application of funds Net fixed assets Long term loans and advances Other Current Asset Inventories Trade receivables Cash and cash equivalents Short term loans and advances	2,19,110 2,19,110 10,000 36,147 1,42,038 7,920 4872 18,133 1,75,495 0 4,449 1,153 30,062 5,448 2,503
IV	Performance of the Company Turnover and other income Total expenditure Profit before tax Net earning per share	1,29,692 97,213 32,479 3
V	Generic names of principle products/service,of the Company Product description :: I T Software and Switch Development and Related Services	
For and on behalf of PAYNEXT PRIVATE LIMITED		
 DIRECTOR Avinash Shende DIN : 02179381		 DIRECTOR Sachin Pande DIN : 02181154
AS PER OUR REPORT OF EVEN DATE ATTACHED		
		For and on behalf of R D S & ASSOCIATES Chartered accountants FRN No.138978W  CA. R. D. SONULE PROPRIETOR M.NO.156133
Nagpur Dated: 14/09/2023		

PAYNEXT PRIVATE LIMITED

SIGNIFICANT ACCOUNTING POLICIES:

NOTE I: Accounting policies adopted by the Company

Basis of preparation of financial statements

These financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on accrual basis except for certain financial instrument which are measured at fair values. GAAP comprises mandatory accounting standards as prescribed under section 133 of the Companies Act 2013 (the Act) read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act(to extent notified). Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Use of Estimates

The preparation of financial statements require estimates and assumptions to be made that affect the reported balances of assets as on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. All asset and liabilities have been classified as current or non current as per the company's normal operating cycle and other criteria set out in Schedule III to the Companies Act, 2013. Accounting estimates could change from period to period. Actual results could differ from these estimates.

The following significant accounting policies are adopted in the preparation of these financial statements:

1. Revenue recognition

- (a) Sales are recognized when goods are supplied and are recorded net of discounts. Sales revenues are presented net of value added taxes in the statements of profit and loss.
- (b) Income from other receipts is recognized on its completion and on its acceptance by the customers.
- (c) Dividend income is accounted for in the year in which the right to receive the same is established.
- (d) Interest income is recognized using the time proportion method, based on rates implicit in the transaction.

2. Fixed Assets

Tangible assets shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition. All such direct costs are capitalized when the tangible assets are ready for use.



PAYNEXT PRIVATE LIMITED

3. Depreciation and amortization

(a) Depreciation on tangible assets has been calculated in accordance with the Schedule II of the Companies Act, 2013 as under:

- (i) All assets on written down value basis.
- (ii) Management has not charged the depreciation on Software Development, since it is in developing stage.

4. Impairment of assets

An impairment loss if any is charged to the statement of profit and loss in the year in which an asset is identified as impaired.

5. Investments

Valued at cost, exclusive of dividend/interest reinvested thereon.

6. Inventories

Trading and other goods are valued at cost or net realizable value, whichever is lower. There is no inventory at the end of the financial year.

7. Taxes on Income

Current tax: Provision for current tax is made based on tax liability computed after considering tax allowances and exemptions.

8. Provisions and contingent liabilities

Based on the estimates of the management, provisions are determined of the outflow of economic benefits which are required to settle the obligation as at the reporting date. Where no realizable estimate can be made, disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation that may, but probably will not, require an outflow of the Company's resources.

9. Cash flow statement

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flows from operating, investing and financing activities of the Company are segregated, accordingly.

